AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Walt Disney

22 August 2026 · the qualitative

$107.78

NYSE : DIS · $192.45B mkt cap · 1.79B sh · $5.7B cash, $42B debt · $5.7B cash against ~$42B total debt (~$36B net debt); ~1,785M shares; dividend raised +50%, buyback >=$8B in FY26; Revenue $94.4B FY25 (+3%); GAAP op margin 18.6% (rising); FCF ~$10.1B; streaming (DTC) OI just crossed 10%; ~$100, down ~9% YTD (52-wk ~$92-125), popped ~7-8% on the May print; the cheap turnaround alongside META

Mature-Company DCF

THE CENTRAL QUESTION

Does streaming operating margin scale from ~10% toward mid-teens fast enough to outrun the secular decline of linear TV and cable-affiliate revenue?

Disney trades at ~$178.6B equity (~$100, down ~9% YTD) — ~22x EV/FCF on $94.4B revenue, an 18.6% and rising operating margin, ~$10.1B FCF against ~$36B net debt. Streaming (DTC) operating income just crossed 10% (+88% YoY, guided to keep scaling), Experiences is a record cash engine (~$2.6B quarterly OI) with a $60B capex runway, and the CEO succession overhang is resolved. The DCF asks whether DTC margin scales toward mid-teens before linear TV erodes the base. The modal case lands +14% — the cheap-turnaround read, with the secular cable decline as the live drag.

PROBABILITY-WEIGHTED EXPECTED VALUE

$110.38 expected fair value today

+2.4% vs spot $107.78

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$168.72	$258.03	$394.82	$604.42
1.57× spot	2.39× spot	3.66× spot	5.61× spot

WEIGHTING RATIONALE

Ultra Bear 13% Cable erodes faster than DTC scales; ~$36 (-64%).
Bear 27% DTC profits but linear decline offsets it; ~$66 (-34%).
Base 34% DTC scales toward mid-teens; FCF compounds; ~$114 (+14%).
Bull 18% Streaming hits mid-teens; parks reaccelerate; ~$173 (+73%).
Ultra Bull 8% Full re-rate; streaming a profit machine; ~$223 (+123%).

Bull (18%) + Ultra Bull (8%) together contribute $49.01 — 44% of the $110.38 expected value despite 26% combined probability. Today's spot ($107.78) sits 2% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$36.38	$65.91	$114.23	$173.20	$222.97
-66.2% vs spot	-38.8% vs spot	+6.0% vs spot	+60.7% vs spot	+106.9% vs spot
CAGR +1.0% WACC 10.0%	CAGR +3.0% WACC 9.5%	CAGR +4.6% WACC 9.0%	CAGR +5.6% WACC 8.5%	CAGR +6.6% WACC 8.2%
CAGR +1.0% Prob 13%	CAGR +3.0% Prob 27%	CAGR +4.6% Prob 34%	CAGR +5.6% Prob 18%	CAGR +6.6% Prob 8%
Cable erodes faster than DTC scales.	DTC profits, but cable offsets it.	DTC scales toward mid-teens; FCF compounds.	Streaming hits mid-teens; parks reaccelerate.	Full re-rate; streaming a profit machine.

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Walt Disney scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected $110.38 (+2.4% vs spot)

ULTRA BEAR $36.38

-66.2% vs spot

Probability 13%

Cable erodes faster than DTC scales.

WHY 13%

The genuine bear: cord-cutting is structural, domestic park visitation already printed -1%, and content is hit-driven. 13% weight on the legacy decline outrunning the DTC turnaround.

WHAT HAPPENS

The secular decline wins: linear TV and cable-affiliate revenue erode faster than streaming margin builds, sports rights costs outrun ESPN DTC ramp, and parks demand softens as domestic attendance keeps slipping. Revenue barely grows (~1%) and the operating margin stalls near 16-17% as the mix shift turns into a mix drag.

A media-and-parks conglomerate whose growth core never outpaces its declining legacy earns a low terminal multiple → DCF ~$36 (-64%). The ~$36B net debt amplifies the equity hit when EBITDA disappoints.

BEAR $65.91

-38.8% vs spot

Probability 27%

DTC profits, but cable offsets it.

WHY 27%

The DTC turnaround is real but the linear drag and capex timing cap it; parks growth is price-led until 2027-2029. 27% as the plausible 'profits but doesn't compound' path.

WHAT HAPPENS

Streaming holds its ~10% margin and grows, but the affiliate/ad decline at the linear networks offsets most of the gain; parks lean on price (attendance flat) and the $60B capex weighs on near-term free cash flow until the new capacity opens. Revenue compounds ~3% at a low-double-digit FCF margin.

DCF ~$66 (-34%) — a stabilizing but not-yet-reaccelerating Disney at ~15x FCF is worth less than today's price; the market's discount holds if DTC scaling only treads water against the cable runoff.

BASE $114.23

+6.0% vs spot

Probability 34%

DTC scales toward mid-teens; FCF compounds.

WHY 34%

Requires DTC margin to keep scaling (guided >=10% FY26, +88% YoY OI) and Experiences to hold its record cash flow as capex pays off. 34% as the central, modestly-positive outcome.

WHAT HAPPENS

The modal path: streaming operating margin grinds from ~10% toward mid-teens on operating leverage (ESPN DTC, bundling, Hulu fully owned), Experiences compounds mid-single-digit as the $60B runway adds supply-constrained capacity, and the combined engine outgrows the shrinking linear base. Revenue compounds ~5% and the operating margin climbs past 20%; FCF margin grinds toward 14%.

DCF ~$114 (+14%) — the cheap-turnaround read. A franchise with a scaling DTC margin and a record cash engine in Experiences, at ~17x FCF, re-rates modestly above today's price once the growth core clears the legacy drag.

BULL $173.20

+60.7% vs spot

Probability 18%

Streaming hits mid-teens; parks reaccelerate.

WHY 18%

DTC scaling plus a $60B-funded Experiences reacceleration and a smooth CEO handoff make a real compounding case credible. ~18% weight on the turnaround landing.

WHAT HAPPENS

The turnaround compounds: streaming margin reaches mid-teens and keeps climbing as the bundle (Disney+/Hulu/ESPN DTC) gains pricing and scale, the new park capacity opens into resilient demand and reaccelerates Experiences past price-led growth, and FCF margin lifts toward 16%. Revenue compounds ~6% at a margin recovering toward the historical peak.

DCF ~$173 (+73%) - if the DTC engine becomes the durable growth core and Experiences reaccelerates, the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $222.97

+106.9% vs spot

Probability 8%

Full re-rate; streaming a profit machine.

WHY 8%

Everything works - DTC margins AND Experiences reacceleration AND franchise monetization AND a multiple re-rate, the long-duration tail. ~8%.

WHAT HAPPENS

The full second act: streaming becomes a high-teens-margin profit machine, the IP library and franchises monetize across DTC, parks and consumer products, the new $60B of capacity compounds Experiences for a decade, and Disney re-rates to a growth-media multiple as the linear drag fades into irrelevance. Revenue compounds ~7% at peak margins.

DCF ~$223 (+123%) - the franchise reclaims a premium compounder valuation; ~8% probability, the asymmetric upside the depressed entry is buying.

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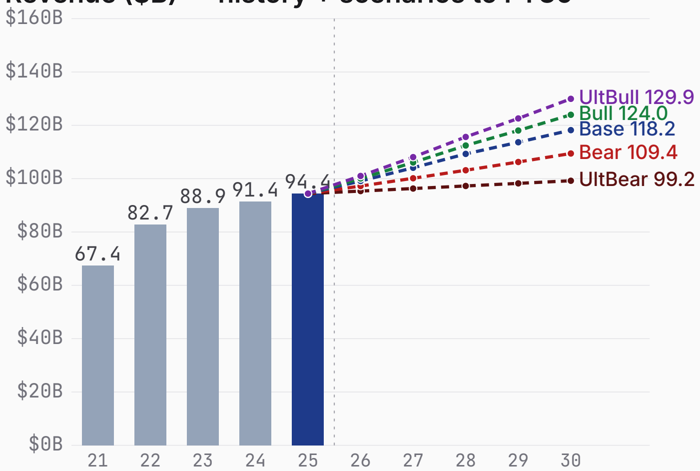
22 August 2026 · the snapshot

Walt Disney business snapshot

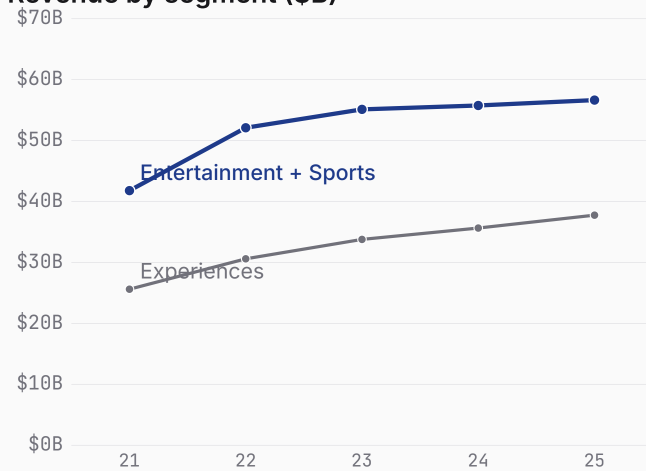
Bear $65.91 Base $114.23 Bull $173.20

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Sept · FQ2 2026 (May'26) results

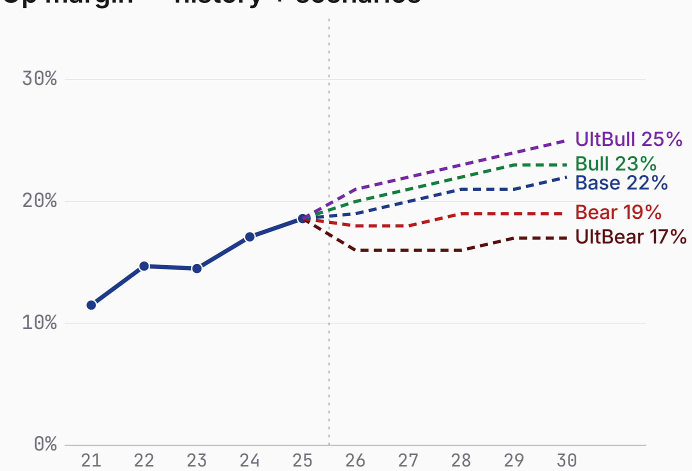
Revenue ($B) — history + scenarios to FY30



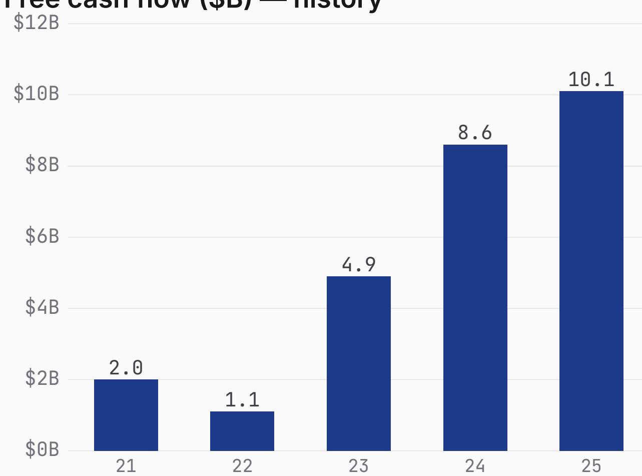
Revenue by segment ($B)



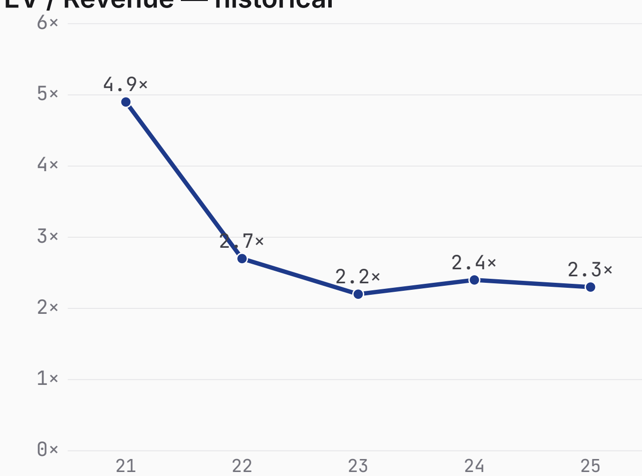
Op margin — history + scenarios



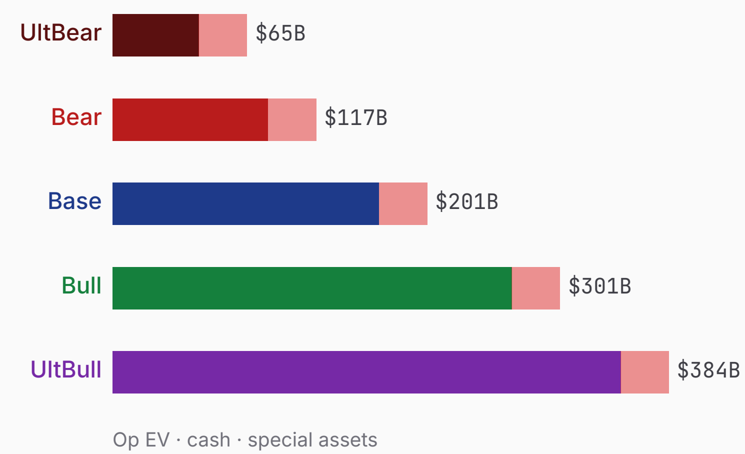
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV - net debt)



Sources: SEC XBRL company facts (CIK 1744489; revenue, GAAP operating income/margin, cash flow, debt), Disney FQ2 2026 release (DTC revenue $5.49B +13% / operating income $582M +88% / 10.6% margin; Experiences revenue $9.5B +7% / OI $2.6B records; domestic park visitation -1%; dividend +50%, buyback >=$8B; $60B/10-yr Experiences capex). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs NFLX/CMCSA.

Walt Disney 7 Powers · the moat, scored

Bear $65.91 Base $114.23 Bull $173.20

Arena. Media + theme parks - Disney (IP library/franchises, parks, the Disney+/Hulu/ESPN DTC bundle) vs Netflix in streaming, Comcast/Universal in parks, Warner Bros. Discovery and Paramount in legacy media; auditing a cornered-resource/brand Power against the secular decline of linear TV.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies (3/3)
Massive content and capex scale - Disney spreads franchise production, a global parks footprint and DTC tech across the industry's largest revenue base; a genuine cost advantage.

Network Economies (2/3)
The Disney+/Hulu/ESPN bundle plus loyalty/MagicBand data create modest cross-sell pull, but streaming is not a hard network - subscribers churn freely.

Counter-Positioning (0/3)
None - Disney is the incumbent being disrupted by streaming and cord-cutting, not the disruptor; it had to cannibalize its own cable economics to build DTC.

Switching Costs (1/3)
Weak - streaming is month-to-month and promiscuous; parks/cruise loyalty is real but a small share of revenue.

Branding (3/3)
A top global consumer brand - Disney/Pixar/Marvel/Star Wars command pricing power in parks and a trust premium with families; durable but not converting fast while linear declines.

Cornered Resource · thesis leans here (3/3)
The dominant Power: an irreplaceable IP/franchise library (a century of characters + ESPN sports rights) that monetizes across DTC, parks and products - the hardest asset in media to replicate.

Process Power (2/3)
Decades of theme-park operating and franchise-development know-how; real but not a primary moat versus the IP itself.

PEER SET

Netflix (NFLX) — 14% gr · 27% mgn · ~12x EV/sales
The streaming scale leader and DTC-margin benchmark Disney's turnaround is measured against; far higher streaming margin.

Comcast / Universal (CMCSA) — 2% gr · 19% mgn · ~7x EV/FCF
The parks rival (Epic Universe) and a cable peer; the closest media-plus-parks comp, cheaper multiple.

Warner Bros. Discovery (WBD) — 0% gr · 10% mgn · ~6x EV/EBITDA
Legacy-media peer mid-restructuring; the cautionary 'cable decline + DTC build + leverage' comparison.

Paramount (PARA) — 0% gr · 8% mgn · ~7x EV/EBITDA
Sub-scale legacy media + DTC; the 'left behind by streaming economics' comp.

THREAT VECTORS · FALSIFIERS

Cornered Resource · Cord-cutting / linear decline
`falsifier:` Cable-affiliate and ad revenue erode faster than DTC + Experiences grow, so the franchise library's legacy monetization shrinks faster than the new channels replace it.

Branding · Netflix / streaming competition
`falsifier:` DTC margin stalls near 10% as bundle pricing and ESPN DTC fail to scale against Netflix's lead, and subscriber growth/churn worsens.

Scale Economies · Parks demand softness
`falsifier:` Domestic attendance stays negative and the $60B capacity opens into a soft consumer, so Experiences growth stays price-led and the cash engine stalls.

COMPETITIVE READ

Disney's cornered-resource Power is genuine and durable (high) - a century-deep IP/franchise library plus ESPN sports rights that monetize across streaming, parks and consumer products, the hardest asset in media to replicate, backed by a top brand and the industry's largest scale. The Audit: the live threat is the secular decline of linear TV/cable affiliate revenue, and the question is whether the scaling DTC margin (just crossed 10%, +88% YoY) and the record Experiences engine ($2.6B quarterly OI, $60B runway) outgrow that runoff before it erodes the base. The DCF tests the pace; the modal case lands +14% - the cheap-turnaround read, with ~$36B net debt amplifying both tails.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

22 August 2026 · the quantitative

Walt Disney show your work

Bear $65.91 Base $114.23 Bull $173.20 · Weighted $110.38 (+2.4%)

ULTRA BEAR $36.38

ASSUMPTIONS

5y revenue CAGR (%)	+1.0
Year-5 op margin (%)	17.0
WACC (%)	10.0
Terminal growth (%)	2.0
Terminal FCF ($B)	$8.93B
Starting revenue ($B)	94.40
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	95.34	+16%	+7.63	+6.93
FY27	96.30	+16%	+7.70	+6.37
FY28	97.26	+16%	+7.78	+5.85
FY29	98.23	+17%	+8.84	+6.04
FY30	99.22	+17%	+8.93	+5.54

Σ PV explicit FCF	+30.73
+ PV terminal (g 2.0%)	70.69

EQUITY BUILD · $B & PER SHARE

Operating EV	$101.42B
+ Cash & investments	$5.70B
− Total debt	$42.00B
= Equity value	$65.12B
FY30 shares (M)	1,790
= Expected per share	**$36.38**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$58.59	$94.36	$151.97	$244.75
0.54×	0.88×	1.41×	2.27×

BEAR $65.91

ASSUMPTIONS

5y revenue CAGR (%)	+3.0
Year-5 op margin (%)	19.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$12.04B
Starting revenue ($B)	94.40
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	97.23	+18%	+9.72	+8.88
FY27	100.15	+18%	+10.02	+8.35
FY28	103.15	+19%	+11.35	+8.64
FY29	106.25	+19%	+11.69	+8.13
FY30	109.44	+19%	+12.04	+7.65

Σ PV explicit FCF	+41.65
+ PV terminal (g 2.5%)	111.97

EQUITY BUILD · $B & PER SHARE

Operating EV	$153.62B
+ Cash & investments	$5.70B
− Total debt	$42.00B
= Equity value	$117.32B
FY30 shares (M)	1,780
= Expected per share	**$65.91**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$103.76	$163.34	$257.14	$404.79
0.96×	1.52×	2.39×	3.76×

BASE $114.23

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	22.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$16.55B
Starting revenue ($B)	94.40
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	99.12	+19%	+10.90	+10.00
FY27	104.08	+20%	+12.49	+10.51
FY28	109.28	+21%	+14.21	+10.97
FY29	113.65	+21%	+14.78	+10.47
FY30	118.20	+22%	+16.55	+10.76

Σ PV explicit FCF	+52.71
+ PV terminal (g 3.0%)	184.63

EQUITY BUILD · $B & PER SHARE

Operating EV	$237.34B
+ Cash & investments	$5.70B
− Total debt	$42.00B
= Equity value	$201.04B
FY30 shares (M)	1,760
= Expected per share	**$114.23**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$175.76	$270.42	$416.08	$640.19
1.63×	2.51×	3.86×	5.94×

BULL $173.20

ASSUMPTIONS

5y revenue CAGR (%)	+5.6
Year-5 op margin (%)	23.0
WACC (%)	8.5
Terminal growth (%)	3.5
Terminal FCF ($B)	$19.83B
Starting revenue ($B)	94.40
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	100.06	+20%	+13.01	+11.99
FY27	106.07	+21%	+14.85	+12.61
FY28	112.43	+22%	+16.86	+13.20
FY29	118.05	+23%	+18.89	+13.63
FY30	123.96	+23%	+19.83	+13.19

Σ PV explicit FCF	+64.63
+ PV terminal (g 3.5%)	273.03

EQUITY BUILD · $B & PER SHARE

Operating EV	$337.66B
+ Cash & investments	$5.70B
− Total debt	$42.00B
= Equity value	$301.36B
FY30 shares (M)	1,740
= Expected per share	**$173.20**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$260.43	$391.60	$588.84	$885.41
2.42×	3.63×	5.46×	8.21×

ULTRA BULL $222.97

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	25.0
WACC (%)	8.2
Terminal growth (%)	3.5
Terminal FCF ($B)	$23.39B
Starting revenue ($B)	94.40
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	101.01	+21%	+14.14	+13.07
FY27	108.08	+22%	+16.21	+13.85
FY28	115.64	+23%	+18.50	+14.61
FY29	122.58	+24%	+20.84	+15.20
FY30	129.94	+25%	+23.39	+15.77

Σ PV explicit FCF	+72.50
+ PV terminal (g 3.5%)	347.31

EQUITY BUILD · $B & PER SHARE

Operating EV	$419.81B
+ Cash & investments	$5.70B
− Total debt	$42.00B
= Equity value	$383.51B
FY30 shares (M)	1,720
= Expected per share	**$222.97**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$330.66	$490.36	$727.20	$1,078.43
3.07×	4.55×	6.75×	10.01×

Walt Disney People · Opportunity · Context · Deal

Bear $65.91 Base $114.23 Bull $173.20

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Josh D'Amaro

0 yrs in seat

0.1%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Mature capital-return machine. Dividend reinstated in 2023 after the COVID suspension and raised toward ~$1.00/yr; a $3B buyback was authorized for FY2024 (the first since 2018). The 21st Century Fox acquisition (~$71B, 2019) carried a ~$5B FY2020 goodwill impairment; Disney bought out Comcast to take full ownership of Hulu (closed mid-2025). Total debt deleveraged from ~$58B (FY2021) to ~$45B (FY2025), and streaming (DTC) turned profitable at ~+$1.3B operating income in FY2025 from a ~$4B loss three years earlier.

Incentive alignment
CEO pay is predominantly equity (Iger FY2025 total ~$45.8M). Director-and-officer ownership is a fraction of a percent (mega-cap norm), so alignment is via pay design, not a meaningful equity stake. The 2024 say-on-pay vote passed at only ~80% (below the S&P 500 median that year) - a recurring pay-friction point across Iger's tenure.

GOVERNANCE FLAGS

- single class of common stock, one vote per share; no controlling shareholder
- independent Chair (James Gorman, since Jan 2025) is separate from the CEO; board ~90% independent (9 of 10), elected annually (no classified board)
- decisively won the 2024 Nelson Peltz / Trian proxy fight (Peltz lost ~2:1); ValueAct backed the company slate
- repeated CEO-succession failures historically (Chapek named 2020, ousted 2022, Iger recalled) - now resolved via a ~2-year board-led process to insider Josh D'Amaro (CEO since 18 Mar 2026; Iger advises through end-2026)
- capital-allocation negative: the ~$5B FY2020 goodwill impairment on the 21st Century Fox deal; Disney v. DeSantis litigation settled 2024

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +10.3% finding), then position-sized.

> PEOPLE READ
> Clean single-class one-vote register with an independent Chair (Gorman) split from the CEO, a ~90%-independent annually-elected board, a decisive 2024 activist-fight win, and restored dividend + buyback discipline - all positives. Held to a middling 3 by Disney's documented history of botched CEO successions (now resolved to an as-yet-unproven insider, D'Amaro), thin insider ownership, the Fox goodwill impairment, and ~80% say-on-pay friction.

Walt Disney supporting analysis · disclaimers · glossary

Bear $65.91 Base $114.23 Bull $173.20

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The streaming turnaround is no longer a maybe.**
DTC operating income +88% YoY to a 10.6% margin (first quarter above double digits, guided >=10% FY26) - the central bull thesis is already printing, not projected.

2 **Experiences is a record cash engine.**
~$2.6B quarterly OI (a record), a $60B/10-yr capex runway adding supply-constrained capacity - the parks fund the streaming build and anchor the floor.

3 **Linear TV is the live drag, not a tail risk.**
Cable-affiliate and ad revenue are in structural decline; the whole question is whether DTC + Experiences outgrow it, and the bear/base fork turns on that pace.

4 **The CEO overhang is resolved.**
Josh D'Amaro (28-yr veteran who ran Experiences) named CEO, effective at the March annual meeting - the succession question that hung over the stock is settled, though a first-time CEO carries transition risk.

5 **Net debt ~$36B is the amplifier.**
Unlike the net-cash mega-caps, ~$36B of net debt levers the equity to EBITDA - the modal case re-rates above spot, but the downside scenarios bite harder.

FALSIFICATION TRIGGERS

Bull validation

DTC operating margin scales past low-teens toward mid-teens · ESPN DTC + bundle pricing hold · Experiences reaccelerates beyond price-led growth as new capacity opens · FCF compounds despite the $60B capex

Bear validation

DTC margin stalls near 10% while linear affiliate/ad revenue keeps eroding · domestic park attendance stays negative · content underperforms (hit-driven) · net debt rises on the capex without offsetting EBITDA

Reframe needed

if linear TV erodes faster than DTC + Experiences can grow - the growth core never clears the legacy drag - re-rate the terminal toward a declining-media-conglomerate multiple rather than a scaling-streamer one

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Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

DTC / streaming — Direct-to-consumer (Disney+, Hulu, ESPN DTC) operating income; just crossed a 10% margin (+88% YoY), the turnaround metric.

Linear networks / affiliate — Traditional cable/broadcast (ABC, ESPN cable) and carriage fees - in secular decline as cord-cutting erodes the base.

Experiences — The parks, resorts, cruise and consumer-products segment - a record cash engine (~$2.6B quarterly OI), $60B/10-yr capex runway.

Cornered resource (IP) — Helmer Power: the franchise/IP library (Disney, Pixar, Marvel, Star Wars, ESPN) monetized across streaming and parks.

FCF margin — Free cash flow / revenue (~11% FY25, ~$10.1B); what 18.6% operating margin converts to once the $60B capex is funded.